

Q: Do you see your son run the bank one day?

A: He [his son, Jay] decided to come back and work in the bank like any other professional, and it's up to him. It's professional merit and it is for the bank and its board to decide.

I believe that there are two business models in corporate India. One which I call the *raja-praja* model, where the *raja* decides what is right for the company and goes ahead and does it. The *praja* has to accept what the *raja* does. The *raja* has tremendous power, and can create disproportionate wealth for the company.

The second model is what I call the trusteeship model, where you say that you are a trustee for all the stakeholders and create a fair business model for all the stakeholders. The trusteeship model is not as influential

“Despite China’s troubles, why does India have a net trade deficit with it? Why is it that we in India cannot manufacture and find it cheaper to import from China?”

in terms of getting opportunities as the *raja-praja* model, but it is far more fair to all stakeholders. My instinct has been in favour of the trusteeship model.

Q: How are you using AI within Kotak?

A: AI is a game changer. And it's going to make it possible for us to be able to provide significantly superior outcomes to customers... It can change society, how we do our work, how do we look at our future... I remember 50 years ago, we were barely seeing the beginnings of television in India. From there to where we are, to where AI will take us, it is another leap from the current level of the digital age... As humans, we need to figure out how we are going to be relevant with competition from a machine. And we need to hone our skills, because otherwise the machine will get the better of us.

Q: What's your advice to young bankers, given that the machine can do better analysis?

A: There are two parts of the brain, there's the left brain and the right brain. On the left brain, the machine will get the better of humans. The right brain,

which is the creative brain, is where humans will always score over machines. And therefore, my advice to the younger generation is, think out of the box, and take those bold calls, which the computer will never [take]. AI is a left brain competitor, [not] a right brain competitor. Therefore, use your right brain a lot more for the future.

Q: How do you assess the prospect of job losses due to AI?

A: You're going to see new industries take off. One of the biggest growth areas for the future is going to be the leisure industry, the gaming industry, sports industry... what we think about as traditional business and industry is undergoing a fundamental change. However, the world will deal with the question of whether there are enough jobs for human beings versus the number of activities the machine will do. And from a long-term political point of view, the question that we will have to address over the next 5-10-15 years is the concept of universal basic income (UBI). It is something that is unaffordable for most countries. But it is an issue that the politicians of the future will have to deal with...

Q: Should India find a way of being able to afford UBI?

A: In the context of sustainability, one of the finest laws India has compared to any other country is the CSR law. Every company pays 2 per cent of its profits every year as CSR. I've suggested why can't every company in the world [do] what India is doing? And in a world where there'll be fewer companies with large profit pools, the time has come for them to make direct allocation of some of their profits annually for things that are changing the planet—whether it's climate change, or whether it's moving in a direction for a minimum income for all.

Q: What is Uday Kotak doing when he is not looking at balance sheets?

A: It has been 38 years that I've been doing this, and there comes a time to take a view that there are many more things in life that matter. For a founder, it's very difficult to say I give up. But once you take the call that you want to do things in life in addition to your responsibilities as a board member—I continue to be on the Kotak Mahindra Bank board and [am] a significant shareholder—life has a lot more opportunities. I'm going back to having a plain white canvas so that I can paint the future the way I feel like. **BT**

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